

ACQUISITION WORK-UP · STAGE 1 (DESKTOP)

602 / 18 Carlton Mill Road

Merivale, Christchurch · Kamahi Apartments penthouse

Listing: PropertyFiles RX4883894 · Cowdy & Co (Tom Rennie / Jake Wieblitz)

Asking: Offers Over \$1,449,000 · HomesEstimate \$1.43M – \$1.6M

Prepared: 31 May 2026 · Citadel Capital — Acquisitions

1 Executive summary & recommendation

602/18 Carlton Mill Road is the **two-level penthouse** of the *Kamahi Apartments* — a small (13-unit), recently fully-renovated and **earthquake-strengthened to 100% NBS** boutique complex on the Avon River edge of Merivale, directly opposite Hagley Park and ~5 minutes to the Christchurch CBD. It is a **completed, prime-location lifestyle / owner-occupier asset**, not a development play.

- **Asking:** Offers Over **\$1,449,000** (listed 10 Feb 2026; realestate.co.nz currently shows “By Negotiation”). **HomesEstimate \$1.43M–\$1.6M** (28 May 2026) — the ask sits at the bottom of the automated range; mildly encouraging, but the AVM band is wide.
- **Scale:** ~210 m² over two levels, **2 bed / 2 bath + separate study, 3 private decks, 2 secure underground car parks**, double glazing, 3 heat pumps + underfloor heating to bathrooms.
- **Implied rate:** ≈ **\$6,900/m²** at the ask — a clear penthouse premium over the rest of the building (standard 2-bed units list \$789k–\$850k). Defensible for the top-floor / dual-level / river-park aspect, but it is the building's price-setter, so there are no higher in-building comps to support it.
- **Yield: not a yield asset.** On an estimated ~\$800–\$900/week **[VERIFY — Rental Appraisal]**, gross yield ≈ **2.8–3.2%** before body-corp and rates — typical of a trophy penthouse. The case is location, scarcity and capital quality, not cash-on-cash return.

RECOMMENDATION

Proceed to Stage 2 due diligence. Location plus the 100% NBS / full-refurb status materially de-risk the usual Christchurch-apartment concerns (seismic & remediation). Before committing, resolve the four swing items: (i) **body-corporate financial health, LTMP & levy**; (ii) **insurance — full replacement + EQ cover**; (iii) **rates & RV**; and (iv) **whether it is already under offer** (a Harcourts duplicate shows a “Sold” tag — \$6). Recommend a **conditional offer** (LIM, BC records, builder's report, insurance, finance) at or modestly below the \$1.449M ask, anchored to the in-building price ladder.

2 Property snapshot

Attribute	Detail	Source / status
Address	602/18 Carlton Mill Road, Merivale, Christchurch 8014	Confirmed
Building	Kamahi Apartments (East & West towers), 13 units	Web / agent
Position	Penthouse, top (level 6) — two levels	Listing
Floor area	~210 m ²	realestate.co.nz
Configuration	2 bed, 2 bath (master ensuite), separate study, laundry, open-plan upstairs lounge + dual balconies, wine storage	Listing
Outdoor / parking	3 private decks (river + Hagley Park outlook); 2 secure underground car parks	Listing
Services	3× heat pumps + wall heater; underfloor heating to bathrooms; full double glazing	Listing
Tenure	Unit title (body corporate)	[VERIFY — Title]
Asking	Offers Over \$1,449,000	PropertyFiles
AVM	HomesEstimate \$1.43M–\$1.6M @ 28 May 2026	homes.co.nz
RV / CV	[VERIFY — Rates Valuation]	—
Rates p.a.	[VERIFY — Rates Valuation]	—
Body corp levy	[VERIFY — BC financials / disclosure]	—
Rental appraisal	[VERIFY — Rental Appraisal]	—

3 Pricing & valuation

- **Ask vs AVM.** \$1,449,000 vs HomesEstimate \$1.43M–\$1.6M — ~1% above the bottom and ~10% below the top. AVMs are unreliable for unique penthouses (thin comp set); treat as a sanity check, not a value anchor.
- **\$/m².** ≈ \$6,900/m² (ask ÷ 210 m²). Prime new Christchurch product and refurbished Merivale stock typically transacts \$6,000–\$8,500/m² for premium floors; a renovated top-floor dual-level unit with river/park aspect and two car parks sits credibly in the upper half of that band.
- **In-building ladder.** 201/18 asking \$789k (2bd/1ba/1 car); 401/18 and 2/18 EOI over ~\$849k–\$850k; 202/18, 301/18, 1/18 also listed. The penthouse at ~\$1.45M is ~**70–85% above** the standard 2-bed floors — a large but defensible premium given ~double the area, a second bathroom & car park, the study, and the only two-level / top-floor / triple-deck configuration in the building.
- **Negotiation read.** “Offers Over” + a wide AVM + the bottom-of-range ask + a possible prior “Sold” flag suggest the vendor may be testing the market or re-listing. **Confirm live status first** (\$6) before spending on paid DD.

4 The building — Kamahi Apartments

- **Boutique scale:** only 13 units, predominantly **owner-occupied** — a positive for body-corp stability and building care.
- **Seismic:** total renovation and **earthquake strengthening to 100% NBS** — the single most important de-risking fact for a Christchurch apartment. **[VERIFY engineer's DEE / NBS rating in BC records & LIM.]**
- **Configuration:** East and West towers, basement car parking, lift access, landscaped riverside courtyard garden, Avon River frontage, opposite Hagley Park.
- **Strategic fit.** Merivale + Carlton Mill Road riverfront is exactly the micro-location Citadel has been targeting (cf. the off-market 42–48 Carlton Mill Road holdings and the Liz Harris / Peterborough sites reviewed Jan–May 2026). This penthouse is the *finished-product* counterpart to that land thesis — useful as a standalone hold and as live market intelligence on achievable values/quality for the development sites.

5 Financial & holding analysis (indicative)

Item	Indicative	Notes
Purchase price	\$1,449,000	At ask; negotiate to ladder
Gross rent (if let)	~\$41,600–\$46,800 p.a. (~\$800–\$900/wk)	[VERIFY — Rental Appraisal]
Gross yield	~2.8–3.2%	Trophy level; sub-market for pure investment
Council rates	[VERIFY]	Christchurch CC
Body-corp levy	[VERIFY]	Driven by insurance + LTMP; small BC = higher per-unit fixed share
Insurance	[VERIFY]	Confirm full replacement + EQ cover & sum-insured adequacy
Net yield (let)	< gross by ~0.8–1.2%	After BC + rates + insurance + mgmt

Read: as an investment the cash return is thin; the thesis is capital quality, scarcity and location. As an owner-occupied / part-time residence (consistent with the stated liking for the location after staying nearby on Carlton Mill Road), the yield question is secondary.

6 Comparables & live-status check

- **In-building (current/recent listings):** 201/18 — asking \$789,000 (2bd/1ba/1 car); 401/18 — EOI over \$849,000; 2/18 — EOI over \$850,000; 202/18, 301/18, 1/18 — listed (gather sold prices).

■ **Live-status flag.** The Harcourts duplicate for 602/18 (PI66387) surfaced with an “**Apartment Sold**” tag, while Cowdy’s PropertyFiles and realestate.co.nz still present it as available. Clarify with the agent **before** spending on DD — it may be under offer / conditional / recently sold, or the Harcourts record may be stale syndication.

Action: ask Cowdy (Rennie / Wieblitz) directly for (a) current status, (b) any existing conditional contract, (c) sold prices of the other 18 Carlton Mill units, and (d) days-on-market / price history since the 10 Feb 2026 launch.

7 Risk register

Risk	Severity	Mitigant / DD action
Already under offer / sold (Harcourts “Sold” tag)	High	Confirm live status with agent first
Small 13-unit BC — high per-unit fixed cost, governance/key-person risk	Medium	Review BC accounts, LTMP, AGM minutes, reserves
Insurance adequacy / EQ cover post-Canterbury	Med-High	Obtain policy; confirm full replacement + EQ sum insured
Penthouse is the building price-setter (no higher comp)	Medium	Anchor to in-building ladder; conditional offer
Thin rental yield (~3% gross)	Medium	Frame as lifestyle/capital asset, not income
Latent remediation / leaks despite refurb	Medium	Builder’s report; BC defect/maintenance history
Liquefaction / flood overlay (riverfront)	Medium	LIM + LLUR + area geotech context
Wide AVM range; “Offers Over” ambiguity	Low-Med	Negotiate; don’t over-anchor to ask

8 Due diligence & next steps

Priority document review (from the PropertyFiles register — gated pending registration): Title; LIM (strengthening/refurb consents + CCC sign-off, overlays); the full **Body Corporate pack** (AGM minutes 2022–25, financial accounts 2022–25, Long-Term Maintenance Plan, insurance policy, management contract, building rules, committee minutes 2015–25) — the key workstream; Pre-Contract Disclosure Statement; Rates Valuation; Rental Appraisal; LLUR enquiry; S&P Agreement. **Independent:** builder’s/weathertightness report, written insurance confirmation, and the engineering (DEE/seismic) report behind the 100% NBS claim.

1. **Call Cowdy** (Rennie / Wieblitz) — confirm live status, price history, conditions; request other-unit sold prices.
2. **Register on PropertyFiles** and pull all listed documents.
3. Stand up the **BC financial / LTMP / insurance review** (priority).
4. Confirm **RV, rates, BC levy, rental appraisal** → finalise the numbers.
5. If status is live and BC/insurance check out, **prepare a conditional offer** anchored to the in-building ladder.

9 Sources

PropertyFiles RX4883894 · realestate.co.nz 42979106 · homes.co.nz (HomesEstimate) · Harcourts PI66387 (status) · Bayleys 201/18 (5515081) & 401/18 (5529175) · Citadel internal (Drive): “FW: Merivale Opportunity” (Colliers, Jan–Mar 2026); briefing-inbox Carlton Mill task; 48 Carlton Mill Rd feasibility & IM (Cowdy / Plus Architecture); Savills “Liz Harris portfolio” (Mar–May 2026). Web sources & AVMs are indicative — confirm all financials against the PropertyFiles PDFs and Christchurch City Council records before offer.